Public Competition Assessment

9 February 2026

Elders - proposed acquisition of Delta Agribusiness

The ACCC's decision

1. On 9 October 2025 the Australian Competition and Consumer Commission announced its decision not to oppose the proposed acquisition by Elders Limited (**Elders**) of 100% of the shares in Delta Agribusiness Pty Ltd (**Delta**) (the **proposed acquisition**) after accepting a section 87B undertaking from Elders (the **Undertaking**).

2. Pursuant to the Undertaking, Elders is required to divest six rural merchandise stores in Western Australia to ACCC-approved purchasers. The ACCC has approved E.E. Muir & Sons Pty Limited (**Muirs**) as purchaser of stores in Albany, Hyden, Manypeaks and Wellstead; and Independent Rural Pty Ltd (**Independent Rural**) for stores in Dalwallinu and Kalannie.

3. The ACCC considers that the proposed acquisition, taking into account the Undertaking, is unlikely to contravene section 50 of the *Competition and Consumer Act 2010* (the **Act**). Section 50 prohibits acquisitions that would have the effect, or would be likely to have the effect, of substantially lessening competition in any market.

4. This Public Competition Assessment outlines reasons for the decision by the ACCC not to oppose the proposed acquisition, taking into account the Undertaking.

5. The ACCC's decision in respect of the proposed acquisition followed an informal public review by the ACCC and was made prior to 1 January 2026 when the mandatory merger control regime commenced.

6. Similar to previous ACCC public competition assessments, this public competition assessment is subject to the following qualifications:
   - The ACCC considers each transaction on a case-by-case basis, so the analysis and decision outlined in one assessment will not necessarily reflect the ACCC's view of another transaction.
   - As assessments are relatively brief and do not refer to confidential information, assessments do not necessarily set out all of the issues and information considered by the ACCC.

The parties

The acquirer: Elders

7. Elders is an ASX-listed agribusiness supplying rural merchandise as well as a range of livestock and wool agency, real estate, finance, and feed and processing services across Australia.

8. Elders supplies rural merchandise to agricultural producers and corporate farm customers through its 246 Elders-owned retail stores.

9. Elders also operates a national wholesale business called Australian Independent Rural Retailers (AIRR). AIRR supplies rural merchandise on a wholesale basis to independently owned AIRR-member retailers and non-member retailers through Elders-owned AIRR warehouses and online channels across Australia.

The target: Delta

10. Delta is an Australian agribusiness supplying rural merchandise as well as a range of farm consultancy and production agronomy services, grain marketing services and livestock agency services. Delta also provides access to real estate and finance services through referral agreements with a real estate agency and a bank.

11. Delta operates 64 retail stores, primarily in regional areas of New South Wales, Victoria, South Australia and Western Australia.

12. In Western Australia, Delta also supplies rural merchandise to independent retailers through its wholesale business, Delta WA. It has approximately 40 independent wholesale customers

Market inquiries

13. The ACCC conducted market inquiries with a range of industry participants, including farmers, competing retailers, wholesale suppliers, buying groups, industry bodies and other interested parties.

Statement of Issues

14. On 29 May 2025, the ACCC released a Statement of Issues (**SOI**) identifying preliminary concerns that the proposed acquisition could lead to a loss of competition in the supply of rural merchandise.

15. The SOI outlined the ACCC's preliminary view that the proposed acquisition would be likely to substantially lessen competition in the retail supply of rural merchandise and related agronomy services in 6 local areas.

16. The SOI also noted the ACCC's preliminary views that the proposed acquisition may also substantially lessen competition in the:

- retail supply of rural merchandise and related agronomy services in certain other local markets
- retail supply of rural merchandise and related agronomy services at a broader (regional, state or national) level
- wholesale supply of rural merchandise in Western Australia.

Industry background

17. Rural merchandise is an umbrella term for agricultural products purchased by farmers as inputs into operating a farm. Rural merchandise may be split into five broad product categories:

- agricultural chemicals
- seed
- fertiliser
- animal health and nutrition products
- other general rural merchandise.

18. Rural merchandise stores may offer a full-service offering covering all of these categories, or offer a subset of categories/products. Some suppliers operate a direct-to-farmer model with no physical retail store.

19. The offering of rural merchandise retailers may be different depending on the types of farming in the local areas. For example: in an area that is primarily broadacre cropping, fertiliser and agricultural chemicals are particularly relevant to the customer base.

20. Customers may interact with rural merchandise retailers by attending stores in person, or by placing orders by phone or online. Rural merchandise retailers will often offer delivery-to-farm, with the cost of freight absorbed into the product price.

Agronomy services

21. In addition to rural merchandise products, rural merchandise retailers may also offer agronomy services. Agronomy services refers to advice, provided by qualified agronomists, aimed at optimising crop production and farm management including soil analysis, crop planning, pest and disease management and nutrient management.

22. The ACCC understands that experienced agronomists can be highly valuable to suppliers of rural merchandise.

23. The range of agronomic services varies from store to store, as well as between regions. For example, the ACCC understands that rural merchandise retailers

are less likely to offer 'fee-for-service' agronomic advice in Western Australia stores, as farmers there are more likely to engage external, independent, agronomic consultants.

Wholesale services

24. Rural merchandise retailers acquire their products through three main channels:

- conventional wholesalers (such as Elders-owned AIRR and Delta WA)
- member-based buying groups that engage with manufacturers/suppliers on behalf of member stores
- direct from the manufacturer.

25. A rural merchandise store might purchase its stock through a combination of these channels.

Competition analysis

26. The proposed acquisition combines two of the larger rural merchandise businesses in Australia. Elders has 246 retail stores nationwide, and Delta has 64 retail stores primarily in regional areas of New South Wales, Victoria, South Australia and Western Australia. Both Elders and Delta also offer wholesale supply of rural merchandise in Western Australia.

27. The ACCC considered competition effects in the:

- retail supply of rural merchandise in local areas
- retail supply of rural merchandise in a broader (regional, state or national level) area
- wholesale supply of rural merchandise in Western Australia

Competition analysis – retail supply of rural merchandise in local areas

28. The ACCC considers that Elders and Delta are close competitors in the retail supply of rural merchandise and related agronomy services across Australia. In some local areas, the proposed acquisition would have removed competition between the parties' stores and left few remaining competitors to effectively constrain the merged-entity.

29. In analysing each of the local areas where Elders and Delta stores were both present, the ACCC considered the geographic bounds of each local area.

30. The majority of customers the ACCC consulted in most areas said they would travel up to 50km or, in some cases, as far as 100 km for rural merchandise, with many rural merchandise retailers providing a similar bound for their delivery radius. However, the typical distance travelled varies significantly between regions and was affected by local area-specific factors. This includes the geography and remoteness of the area, the size of the relevant town (including regional centres) in which a store is based, and the specific characteristics of farms in the local area such as the physical size of farms and the typical mix of agriculture.

31. Accordingly, the geographic boundaries of each relevant local area varied in each case.

32. For each local area of overlap, the ACCC considered:

- how closely the Elders and Delta stores compete in the relevant area
- the number of remaining competitors and how closely they compete with the Elder and Delta stores (including the constraint provided by specialist rural merchandise retailers and retailers who were further than 50 kms away)
- the likelihood of timely and sufficient new entry.

33. Based on this analysis, the ACCC was concerned that the proposed acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in the retail supply of rural merchandise and related services in the following local areas in Western Australia:

- Hyden and the surrounding areas
- Albany, Wellstead, Manypeaks and the surrounding areas (the City of Albany)
- Dalwallinu and the surrounding areas.

34. In each of these areas, the proposed acquisition would remove a close competitor and there would not be sufficient remaining competing retailers to constrain Elders. It is also unlikely that there would be timely and sufficient new entry by rival retailers to constrain Elders.

Competition analysis – retail supply of rural merchandise at a broader level

35. The ACCC also considered the extent to which Elders and Delta compete at a regional, state or national level, as part of its assessment.

36. The ACCC considers that there are some forms of competition that occur at a broader rather than local level between rural merchandise retail chains (for example, large retail chains appear to compete at a broader level in the supply of private label products).

37. However, in contrast to certain other retail sectors, the nature of competition in the retail supply of rural merchandise is largely localised. This reflects differences in farm type, farm size and conditions in different local areas, and the importance to customers of local relationships with their rural merchandise suppliers and staff. Unlike certain other retail sectors, rural merchandise retail chains focus less on standardising (at a national, state or regional level) key elements of their retail offering such as store layout, pricing and product range.

38. Accordingly, the ACCC considers the proposed acquisition is unlikely to substantially lessen competition in the retail supply of rural merchandise at a broader regional, state or national level.

Competition analysis – wholesale supply of rural merchandise in Western Australia

39. The ACCC considered whether the proposed acquisition would, or would be likely to, substantially lessen competition by removing a wholesaler of rural merchandise in Western Australia.

40. The ACCC considers that, at a wholesale level in Western Australia, there would remain sufficient constraint on the merged entity notwithstanding the removal of Delta as an independent wholesale competitor.

41. In particular, the ACCC considers that rural merchandise retailers in Western Australia would have sufficient alternatives for supply, including via direct supply arrangements with manufacturers, and via membership of buying groups.

42. Accordingly, the ACCC does not consider that the proposed acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in the wholesale supply of rural merchandise in Western Australia.

Undertakings

43. To address the ACCC's competition concerns about the likely effect of the proposed acquisition in some local areas, Elders offered the Undertaking to divest 6 Delta stores in WA to ACCC-approved purchasers.

44. Elders proposed, and the ACCC approved, Muirs as the purchaser of stores in Albany, Hyden, Manypeaks and Wellstead, and Independent Rural as the purchaser of stores in Dalwallinu and Kalannie.

45. The ACCC approved Muirs and Independent Rural as purchasers at the same time the Undertaking was accepted, after giving consideration to a number of factors. These factors included previous and current experience in Australian rural merchandise retailing, financial capability, and plans to maintain and operate the stores.

46. The ACCC considers that the Undertaking addresses its competition concerns with the proposed acquisition. This is because acquisition of the stores by ACCC-approved purchasers will replace the competition in the retail supply of rural merchandise that would otherwise have been lost in the relevant local areas as a result of the proposed acquisition.

47. A copy of the Undertaking is available on the ACCC public informal merger reviews register and section 87B undertakings register.

Conclusion

48. Based on the above analysis, the ACCC concluded that the proposed acquisition of Delta by Elders, taking into account the Undertaking, would not have the effect, or be likely to have the effect, of substantially lessening competition in any market.